MaxLinear, Inc. (MXL)

Long-Term Conviction Report — Deep-Dive Mode

MXL | B-SM (split: AI optics / legacy broadband) | Price €57.09 ($63.91) — Nov 3, 2026 intraday, yfinance | Report date 2026-11-03

VERDICT — GREEN (WEAK) · Verdict Score 6.3 / 10 · knife-edge

Fair (F-Score 60) | MoS Gate: BASE (by 1.4%) | QUALITY (Compounder 4.5/9) | AI Impact: TAILWIND (Infrastructure)

DCF Bear €8.84 ($9.89) / Base €57.89 ($64.81) / Bull €111.41 ($124.72) vs price €57.09 ($63.91): price is 0.99× Base and 0.51× Bull. On Oct 5 the price was 2.8× Base and 1.4× Bull. The change is −40% in price and +32% in FY27 consensus revenue (+65% in EPS) after the Q3 beat.

⚠ WARNING:

Cash conversion break: operating cash flow −$17.7M in 9M 2026 vs +$9.2M in 9M 2025, while non-GAAP net income rose $9.5M → $114.5M and GAAP net loss narrowed −$121.8M → −$14.5M. Q3 alone: OCF −$13.6M vs non-GAAP NI +$60.8M. Cause (10-Q): wafer prepayments and inventory; CFO: "I expect prepaids to continue to go up from here."

Main risks:

• Gate is a coin toss: it flips at 98.6% of consensus FY27 revenue, at β 2.5 (Base $36.05), and above a 11.17% WACC (house 11.07%).
• Bear €8.84 ($9.89) (-85%): 800G digestion + 1.6T (Rushmore) qualification slip at a capacity-constrained foundry, plus a $250M Silicon Motion award. No WACC makes the Bear reach the price.
• Funding: revolver drawn $40M in Q3 and raised to $200M; liquidity covenant cut from $80M to $60M; net debt $104M. Growth is being financed with debt and wafer prepayments.
• Silicon Motion arbitration (SIAC): termination fee $160M "plus damages in excess" claimed; decision expected H2 2026 per a secondary source; not accrued.
• Dilution and SBC: basic shares 86.5M → 91.0M in nine months (+5.3%); SBC + share-settled bonuses = 18% of 9M revenue. Diluted guide 99.7M.

Personal analysis, not financial advice. DCF values are illustrative scenario modelling, not price targets. EUR at 1 USD = €0.8933 (EUR/USD 1.1194, macro report 2026-11-03).

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Summary and what changed since the 2026-10-05 report

⚠ DEFAULT WARNINGS TRIGGERED

Cash conversion break (9M YoY): OCF +$9.2M → −$17.7M while non-GAAP NI +$9.5M → +$114.5M. Quarterly OCF (QoQ): Q3-25 +$10.1M → Q4-25 +$10.4M → Q1-26 −$8.9M → Q2-26 +$4.8M → Q3-26 −$13.6M. Cause: wafer prepayments (prepaid assets $50.4M → $121.6M) and inventory ($78.1M → $113.7M) to secure supply.

Verdict: GREEN (WEAK), score 6.3/10, QUALITY with MoS Gate BASE — by 1.4%. The first sentence has to be the warning: earnings are rising but cash is going the other way, because the company is prepaying wafers to secure foundry capacity. The price fell 40% since Oct 5 ($105.93 → $63.91) while FY27 consensus jumped (revenue $958.5M → $1,266M, EPS $2.61 → $4.30). The Base case moved from $38 to $65 and now sits on the price. This is the thinnest possible GREEN: every stress test (β 2.5, consensus −10%, WACC +0.1 pt) turns it YELLOW. Treat it as "price ≈ fair value on consensus", not as a margin of safety.

Item	2026-10-05 report	This report	Why it changed
Price	$105.93 (Oct 2 close)	€57.09 ($63.91) (Nov 3 intraday)	−39.7%: mostly sector moves (−13.9% on Oct 22 before the print with SMH −6%; −18% Oct 30–Nov 2) and the AI-optics de-rating (Marvell −37%, Credo −29% in a month). The print itself: −2.8% the next day, then +18%
Risk-free / WACC	5.24% → 11.5%	4.93% → 11.07%	Lower 10Y
FY26 / FY27 consensus revenue	$738M / $958.5M	$774.3M / $1,266.1M	Q3 beat, Q4 guide $240–260M, "significant step-up" in 2027
FY27 consensus EPS (non-GAAP)	$2.61	$4.30 (11; $1.95–4.77)	+65%, mostly in the last 7 days
Bear / Base / Bull	$9 / $38 / $76	$9.89 / $64.81 / $124.72	Higher revenue path; Bear SiMo deduction raised to $250M
Price ÷ Base	2.8×	0.99×	Gate NONE → BASE
Default Warnings	not checked (rule added later)	Cash conversion break	OCF negative while earnings rise
Compounder	QUALITY 5/9	QUALITY 4.5/9	Buyback pass now borderline (none in 2026); self-funded still FAIL
Filings	Q2 8-K only	FY25 10-K + Q3 10-Q + DEF 14A read	Mandatory Filings Review
Flag	YELLOW	GREEN (WEAK) 6.3	Verdict Score rule; price now at Base

Portfolio note: the user exited MXL on Oct 21 (pre-print, ~$76). This report answers whether today's price is a long-term entry, not whether the exit was right.

0. Recent Context

⚠ DEFAULT WARNINGS TRIGGERED

Cash conversion break — see Summary. OCF 9M 2026 −$17.7M (9M 2025 +$9.2M); non-GAAP NI 9M $114.5M (9M 2025 $9.5M).

Default Warnings check

Warning	Series / evidence	Triggered?
Margin deterioration (3+	GAAP gross margin 56.9% → 57.4% → 57.5% → 57.8% → 58.7% (Q3-25 → Q3-26,	No

Warning	Series / evidence	Triggered?
quarters)	QoQ); GAAP operating −32.7% → … → −12.5% → −2.5% → 13.9%; net rising. YoY all up.	
Cash conversion break	OCF 9M −$17.7M vs +$9.2M YoY while GAAP NI and non-GAAP NI rose (above).	**YES**
Estimate cuts (> 5% in 30 days)	FY26 EPS $1.75 → $1.99; FY27 $2.61 → $4.30 (30 days). 8 up / 0 down.	No
Customer concentration	10-K FY25: two customers 28% (16% + 12%), top ten 65%. 10-Q: 9M 2026 one customer 10%, top ten 56%; Q3 no customer ≥ 10%. Top five not disclosed. Sales are purchase-order based ("we do not have long-term product purchase commitments with our customers"); 48% through distributors.	No (on disclosed data)

Cause attribution — cash conversion (the warning that triggered)

Cause	Evidence	Effect	Who says so / can the filings prove it?
Wafer prepayments to secure DSP foundry capacity	Prepaid & other current assets $50.4M (Dec 25) → $121.6M (Sep 26); −$45.7M in Q3 alone	OCF	Management (10-Q MD&A: working capital used ~$137.6M "primarily due to prepayments for wafers and purchases of inventory"); CFO expects prepaids to keep rising
Inventory build	$78.1M → $113.7M (+46%) vs 9M revenue +58% YoY	OCF	10-Q balance sheet; consistent with 26–28 week lead times
Receivables	$46.1M → $73.4M; DSO ~30 days (Q3)	OCF	10-Q; normal for +29% QoQ revenue
Earnings quality	Non-GAAP NI excludes SBC $66.9M + share-settled bonus $26.9M (9M) = 18% of revenue	Non-GAAP vs cash gap	Filing reconciliation

Reading: the warning is mostly growth funding (capacity prepaid ahead of revenue), not earnings that are not real. It is still a real cost: the business consumes cash at a +70% growth rate and funds it with a revolver whose liquidity covenant was just loosened. The test is whether OCF turns positive once prepayments are consumed; management gave no date.

Last reported quarter — Q3 2026 (ended Sep 30, reported Oct 22)

Metric	Q3 2026	Prior	Change
Revenue	$218.1M	Q2 $168.8M / Q3-25 $126.5M	+29% QoQ / +72% YoY; consensus $213.5M
Infrastructure	$124.9M (57%)	Q3-25 $40.3M (32%)	+210% YoY
Broadband / Connectivity / Industrial	$53.3M / $24.7M / $15.1M	Q3-25 $58.2M / $19.0M / $8.9M	−8% / +30% / +69% YoY
Gross margin (GAAP / non-GAAP)	58.7% / 60.0%	Q2 57.8% / 59.5%	+0.9 / +0.5 pt
Operating margin (GAAP / non-GAAP)	13.9% / 29.5%	Q2 −2.5% / 22.3%	First solid GAAP operating profit since 2022
EPS (GAAP / non-GAAP)	$0.30 / $0.62	Q2 $0.02 / $0.35; consensus $0.56	Beat
OCF / capex	−$13.6M / $5.9M (+$3.7M IP)	Q2 +$4.8M	See warning
Cash / debt	$81.1M (+$28.8M restricted) / term loan $125M + revolver $40M + leases	Jun: $64.8M / $148M	Net debt ~$104M

Guidance Q4 2026: revenue $240–260M (+10–19% QoQ), non-GAAP gross margin 59–62%, non-GAAP opex $65–70M, diluted shares 99.7M. Optical data-center revenue for 2026 raised to $250–270M. Call: no 2027 guidance, but "another significant step-up in revenue next year"; "booking products throughout 2027 into 2028"; optical lead times 26–28 weeks; constraint is DSP foundry capacity; Rushmore (1.6T) initial revenue early 2027, stronger in H2.

CEO: share "could reach the teens in two years", "neck and neck with one of our two competitors" in 12–24 months; LPO "do not have legs"; sees 60–70% pluggable in 2030.

Filings — what they add (FY25 10-K filed 2026-01-29; Q3 10-Q filed 2026-10-22; DEF 14A 2026-04-02)

Item	Filing figure	Why it matters
Geographic mix (ship-to)	FY23 / FY24 / FY25: Asia 75% / 75% / 82%; Europe 18% / 11% / 13%; U.S. 5% / 13% / 4%. Hong Kong 37% / 41% / 49%. 9M 2026: Asia 85%, Hong Kong 50%, mainland China 12%, Vietnam 11%.	Ship-to ODM/module-maker locations; end customers are U.S. hyperscalers. China-routed exposure is an export-control risk.
End markets	Q3: Infrastructure 57%, Broadband 24%, Connectivity 11%, Industrial 7% (Q3-25: 32 / 46 / 15 / 7)	Infrastructure crossed 50%: the SOTP split is now ~57/43.
Customer concentration	FY25 Customer A 16%, B 12%; FY24 A 12%; FY23 A 10%. Top ten 65% (FY25), 56% (9M 26). Receivables: three customers 15/15/12%.	Falling, not rising, as optics broadens across hyperscalers.
Supplier concentration	Vendor A 52% of Q3 inventory purchases (34% a year ago)	Single-foundry dependence; the capacity constraint management cites.
Backlog	Not disclosed (no RPO beyond $0.3M contract liabilities); "booking throughout 2027 into 2028" (call)	No contractual visibility; purchase orders only.
Debt-like items	Term loan $125M (2028), revolver $40M drawn of $200M (2028), leases ~$20M; restructuring liability $2.9M; Silicon Motion claim not accrued	SiMo deducted per scenario (Bear $250M / Base $80M / Bull $0).
Legal	SIAC arbitration (SiMo seeks fee + damages + costs; confidential). Stockholder suits: Water Island dismissed with prejudice, on appeal (9th Cir., briefs complete Apr 2026); HBK dismissed without prejudice.	Largest single tail risk relative to the balance sheet.
Risk factors stressed	1) SiMo damages could "require us to draw down on all our existing lines of credit"; 2) intense competition (Broadcom, Marvell, Credo, Qualcomm, MediaTek, Realtek…); 3) tariffs; 4) cyclicality; 5) concentration in a few hyperscale customers and AI programmes; 6) no long-term purchase commitments; 7) single foundry	Feeds Bear and RSK-1.
Workforce	~786 R&D employees (10-K; total headcount not extracted)	MGT-7: no union disclosure.
Capital return / dilution	$75M buyback (to Nov 2028), $20M used in FY25 at $17.46; none in 2026. Basic shares 86.5M → 91.0M (+5.3% in 9M); $32.5M bonuses paid in shares (Feb 2026); 2026 bonuses also to be paid in shares in Q1 2027.	Dilution is a structural feature of pay.
Ownership (DEF 14A)	Directors and officers 7.7% (incl. options); BlackRock 13.4%, Vanguard 10.2%, FMR 6.1%	Founder-CEO alignment present.

Recent news (Oct 5 – Nov 3, 2026)

Date	Event	Read
Oct 16	Credit agreement amended: revolver +$70M to $200M; liquidity covenant $80M → $60M	Funding the working-capital build
Oct 21	Close $75.79 (user exited ~here)	—
Oct 22 (session)	MXL −13.9% to $65.28 BEFORE the print (results came after the close), with SMH −6.0% on the LRCX after-hours drop	Sector sell-off, not a reaction to the results
Oct 22 AH – Oct 23	Q3 beat; Q4 guide above consensus. After hours ~$63.9; Oct 23 −2.8% to $63.46 on 7.1M shares (heaviest volume of the month), intraday low $58.44 (−10.5%) recovered into the close	Muted-to-negative reaction to the beat: cash flow, ramp timing, valuation
Oct 26–28	+18% to $75.14 over three sessions (SMH +7.6%)	Rebound with the sector; the beat was bought after all
Oct 30 – Nov 2	−18% to $61.33 (SMH −9.5% over the same days; Marvell–Lumentum deal; Stage 4 MA200 break)	Sector-driven again

Date	Event	Read
Late Oct	Marvell–Lumentum all-stock deal: MRVL −30.8% in 5 days; AI-optics peers −29% to −37% in a month (Credo, Semtech, Astera)	Sector de-rating, not MXL-specific
Oct 22–30	FY27 consensus EPS revised $2.61 → $4.30, revenue $958M → $1,266M	Estimates up, price down: the multiple compressed from 40× to 15× FY27
Nov 2–3	SMH closes below MA200 (Stage 4); MXL $61.33 → $63.91	Regime headwind

Litigation and competitor search: no Silicon Motion ruling found (10-Q unchanged; a secondary source expected a decision in H2 2026). Competitors: Marvell and Broadcom (incumbent DSP leaders), Credo (AEC, 93–99% share per the call). Rising cost lines: SBC and share-settled bonuses; wafer prepayments.

Price: $63.91, 1 month −39.4%, 3 months −5.3%, 12 months +322%; 52-week $12.77–$128.30; MA50 $77.11, MA200 $60.39 (price 6% above). Beta 3.7–4.0. Analysts: mean target $93.64 (11; $40–125), recommendation 1.82.

1. Business Overview

Segment (Q3 2026, 10-Q)	What it does	Revenue	Share	YoY
Infrastructure	Keystone 800G PAM4 DSP, Rushmore/Annapurna 1.6T optical and electrical, wireless backhaul, high-performance analog	$124.9M	57%	+210%
Broadband	Puma DOCSIS/PON gateway SoCs	$53.3M	24%	−8%
Connectivity	Wi-Fi 7/8, MoCA, G.hn	$24.7M	11%	+30%
Industrial & Multimarket	Interface, power, misc. (ex-Exar)	$15.1M	7%	+69%
Total		**$218.1M**	**100%**	**+72%**

Principal markets: shipments 85% to Asia (ODMs/module makers), end demand from U.S. hyperscalers. Competitors (10-K): Broadcom, Marvell, Credo, Qualcomm, MediaTek, Realtek, Semtech, MACOM, TI, ADI and others. TAM: company 2026 optical data-center revenue $250–270M; CEO share ambition "teens" in two years. No dollar TAM disclosed; no penetration computed.

2. Routing

B-SM with a never-blend split: Infrastructure (AI optics, 57%) vs legacy Broadband/Connectivity/Industrial (43%) → Sum-of-the-Parts required alongside the DCF.

3. Categorization (Lynch)

Turnaround becoming a Fast Grower. Revenue $1,120M (FY22) → $361M (FY24, −68%) → $774M FY26 (consensus) → $1,266M FY27. PEG n/m for FY26 (EPS +542% off $0.31). On FY27 growth (+116% EPS) PEG is also n/m (> 100% rule). Use Years of Consensus Priced In.

4. Earnings Quality (Penman)

⚠ Cash conversion break

OCF −$17.7M (9M 26) vs non-GAAP NI $114.5M: see Step 0 cause table.

Check	Value	Read
Non-GAAP vs cash	Q3 non-GAAP NI $60.8M vs OCF −$13.6M; 9M $114.5M vs −$17.7M	Accrual flag → caps Compounder at QUALITY
Accrual ratio (GAAP, 9M annualised)	(−$14.5M − (−$17.7M)) / avg assets $856M ≈ +0.4%	GAAP NI ≈ 0, so the ratio is uninformative (MXL rule)
GAAP vs non-GAAP EPS (Q3)	$0.30 vs $0.62	Gap = SBC $19.8M + share bonus $9.1M + amortisation $2.7M + other
SBC + share-settled bonus / revenue	9M 18.0%; Q3 13.3%	Real cost; deducted in the DCF margins
Working capital	Prepaid +$71M, inventory +$36M, receivables +$27M (9M)	Explained by management (wafer prepayments)
RNOA vs ROE	Net debt $104M vs equity $533M	Small leverage; operating return is the driver
Dilution	Basic 86.5M → 91.0M (+5.3% in 9M); diluted 99.7M guided	Fails self-funded
Margin trend (GAAP gross)	56.9% → 57.4% → 57.5% → 57.8% → 58.7%	Slowly up as optics mix rises (Fisher #5 improving)

5. Valuation — DCF (Koller) + Multiples Ladder + Sum-of-the-Parts

WACC

Input	Value	Note
Risk-free rate	4.93%	10Y UST, macro_report_2026-11-03
ERP / beta	4.5% / 1.4 house	Raw beta 3.99 (yfinance), 3.7 weekly; override β 2.5 shown alongside (as Oct 5)
Debt	~2.8% of capital, 7% pre-tax	Term loan + revolver + leases $185M vs market cap ${M["mcap"] / 1000:.2f}B (99.7M diluted)
WACC	11.07% (β 2.5: 15.88%)	Stress +3 pts: 14.07%
Net debt / SiMo	$103.9M; Silicon Motion Bear $250M / Base $80M / Bull $0	Bear raised from $160M: SiMo claims damages "in excess of" the fee

Consensus reconciliation and sanity check (FY = calendar year)

Year	Consensus revenue	Consensus EPS (non-GAAP)	Base case	Source
FY26	$774.3M (10; $773–777M)	$1.99 (10)	= consensus (9M actual + Q4 guide)	yfinance Nov 3
FY27	$1,266.1M (11; $801–1,367M)	$4.30 (11; $1.95–4.77)	= consensus (inside rebuild)	yfinance Nov 3
FY28+	none found	none found	+30% then linear fade to 3% by FY36	House
Check: Q4 guide × 4	$1,000M	—	FY27 consensus +27% above run rate	8-K Oct 22

FY27 rebuild from Q4 guide midpoint $250M	FY27 revenue	FY27 non-GAAP EPS (61% GM, opex $300M, interest $16M, tax 5%, 100M sh)
+4% QoQ	$1,104M	$3.39
+7% QoQ	$1,188M	$3.88
+10% QoQ	$1,276M	$4.39
Consensus	$1,266M	$4.30

1. Consensus sits at the top of the rebuild (≈ +10% a quarter through 2027): demanding but not above the top → Base FY27 = consensus. 2. Run rate: Q4 × 4 = $1.0B; the +27% must come from Rushmore 1.6T (initial revenue early 2027) and more Keystone sockets. 3. Dispersion: revenue high/low 1.7×, EPS 2.4× — analysts disagree on the 2027 ramp, so the median matters; no median available. 4. Revisions +65% in 30 days: neutral for a turnaround, not used to support the Base. 5. Consensus EPS excludes ~$1.15/share of SBC and share-settled bonus; the DCF uses margins after SBC.

FY27 consensus revenue scaled by	Value per share	Price ÷ value	MoS Gate
100% (Consensus case = Base)	€57.89 ($64.81)	0.99×	BASE
90%	€52.20 ($58.43)	1.09×	NONE
80%	€46.50 ($52.06)	1.23×	NONE
70%	€40.81 ($45.68)	1.40×	NONE

The gate flips between 100% and 90% of consensus (at 98.6%): the BASE verdict depends on consensus being fully met.

Scenarios

10-year FCFF (FY27–FY36): explicit FY27 revenue, FY28 step, then growth fading linearly to 3%; NOPLAT margin after SBC and ~15% tax, linear from FY27 to terminal; reinvestment = Δrevenue ÷ 2.5 sales-to-capital (fabless, but working-capital heavy); KVD terminal, g 3%; mid-year discounting from Nov 3, 2026.

Case	Revenue path	NOPLAT margin	RONIC	SiMo	FY36 revenue	Terminal %	Value @ 11.07%	@ β 2.5	@ +3 pts
Bear	$1,000M (flat on Q4 run rate), FY28 −10%	15% → 14%	= WACC	$250M	$1.22B	41%	€8.84 ($9.89)	$5.51	$6.79
Base	$1,266M (consensus), FY28 +30%, fade	23% → 22%	15%	$80M	$4.88B	57%	€57.89 ($64.81)	$36.05	$43.81
Bull	$1,367M (consensus high), FY28 +40%, fade	26% → 27%	22%	$0	$7.55B	62%	€111.41 ($124.72)	$67.61	$82.90

Bear (named risks): (1) 800G digestion as hyperscalers transition to 1.6T, where Marvell and Broadcom are incumbent and MXL's Rushmore is still in qualification ("we are constrained in how many we can activate at the same time"); (2) legacy broadband keeps declining (−8% YoY); (3) a $250M Silicon Motion award paid from the revolver. The named-risk Bear is harsher than the mechanical one (0.7× growth, −300 bps) and is used. **Base:** consensus FY27, +30% FY28, fade to 3% by FY36 (~$4.9B revenue, 4.4× the FY22 peak), NOPLAT 22–23% after SBC. **Bull:** consensus high, +40%, teen DSP share reached, NOPLAT 27%, arbitration won.

MoS Gate: BASE (thin). Price €57.09 ($63.91) = 0.986× Base, 0.51× Bull, 6.5× Bear (Nov 3 intraday). Price = Base at a 11.17% WACC (house 11.07%: 0.09 pt of headroom). Bear at +3 pts $6.79; no WACC brings the Bear to the price. Terminal value 57% of the Base (Track B typical).

Sum-of-the-Parts (never-blend rule)

Run rate = Q3 × 4: Infrastructure $500M, legacy $372M. Peer EV / trailing sales (yfinance, Nov 3): Credo 16.1×, Marvell 16.0×, Semtech 10.0×, Astera 32.1×; Synaptics 4.2×, Silicon Labs 8.2×. Using MXL run rate against peers' trailing sales flatters MXL. Net debt $104M, SiMo $80M deducted; 99.7M shares.

Combination	EV	Value per share
Infra 16.0× (Credo/Marvell) + legacy 4.2× (Synaptics)	$9.6B	€84.03 ($94.07)
Infra 16.0× + legacy 6.2× (Synaptics/SLAB median)	$10.3B	€90.70 ($101.53)
Infra 10.0× (Semtech) + legacy 4.2×	$6.6B	€57.15 ($63.98)

Read: on Oct 5 the price matched the SOTP at Credo/Marvell multiples (~25× sales then). Now AI-DSP peers have de-rated to ~16× and MXL trades at the Semtech-multiple SOTP (~$64): the market is no longer paying the richest multiple for MXL's optics half.

Multiples Ladder

Anchor	Multiple	Value per share
Bear DCF	—	€8.84 ($9.89)
Price today (Nov 3)	32.1× FY26 / 14.9× FY27 non-GAAP; ~20× FY27 after SBC	€57.09 ($63.91)
SOTP, infra at Semtech 10.0×	—	€57.15 ($63.98)
Base DCF	15.1× FY27 EPS	€57.89 ($64.81)
Credo fwd P/E 15.5× × FY27 EPS $4.30	15.5×	€59.35 ($66.43)
Synaptics fwd P/E 17.9× × FY27 EPS	17.9×	€68.87 ($77.10)
Semtech fwd P/E 19.2× × FY27 EPS	19.2×	€73.71 ($82.52)
SOTP, infra at Credo/Marvell 16.0×	—	€84.03 ($94.07)
Own FY22 P/E 21.9× × FY27 EPS (business mix not comparable)	21.9×	€84.12 ($94.17)
Marvell fwd P/E 23.3× × FY27 EPS	23.3×	€89.35 ($100.02)
Bull DCF	29.0× FY27 EPS	€111.41 ($124.72)

Read: on non-GAAP forward P/E MXL is now the cheapest name in its peer set (14.9× vs Credo 15.5×, Synaptics 17.9×, Semtech 19.2×, Marvell 23.3×). After SBC (~$1.15/share) it is ~20×, mid-pack. Peers' "forward" years differ (Credo FY Apr-27, Marvell FY Jan-28): labelled approximate. The Base DCF sits inside the earnings-multiple ladder. Years of Consensus Priced In: P/E 32.1× (FY26) → 14.9× (FY27) reaches the ~23.5× sector median in FY27 → ≤ 1 year priced in (Oct 5: never within the horizon). FY27 EPS × 23.5×, undiscounted = $101.

Other multiples (TTM to Q3 2026, diluted market cap $6.37B, EV $6.48B)	Value
EV / TTM sales ($660.5M)	9.8×
EV / run-rate sales (Q3 × 4 = $872M)	7.4×
EV / TTM EBITDA ($37.9M)	171× (n/m-like)
P / TTM OCF (−$7.2M)	n/m (negative)

Sensitivity (Benninga)

WACC \ g	2.0%	2.5%	3.0%	4.0%
9.07%	$83.59	$86.98	$90.82	$100.36
10.07%	$71.09	$73.39	$75.93	$81.94
11.07% (house)	$61.45	$63.06	$64.81	$68.79
12.07%	$53.80	$54.97	$56.20	$58.94
15.88% (β 2.5)	$35.23	$35.64	$36.05	$36.87

Growth path \ terminal NOPLAT margin	14%	18%	22%	27%	32%
0.7× Base growth	$33.62	$41.31	$49.00	$58.61	$68.22
1.0× Base growth	$43.52	$54.16	$64.81	$78.11	$91.41
1.3× Base growth	$56.23	$70.75	$85.26	$103.40	$121.55
1.6× Base growth	$72.40	$91.94	$111.47	$135.89	$160.30

6. Mauboussin — Price-Implied Expectations

WACC	Multiple of Base growth path	Implied 5-yr revenue CAGR (from FY26)	Revenue FY31	× FY22 peak ($1.12B)
10.07%	0.82×	28%	$2.67B	2.4×
11.07% (house)	0.98×	31%	$3.04B	2.7×
12.07%	1.14×	35%	$3.43B	3.1×
15.88% (β 2.5)	1.70×	46%	$5.11B	4.6×

At the house WACC the price implies ~0.98× the Base growth path: ~31% a year for five years to ~$3.0B in FY31, with a terminal NOPLAT margin of 21.7% after SBC (Base 22%). On Oct 5 it implied 47% a year. Versus base rates (companies growing 20–30% typically grow 12–15% the next year), 31% for five years is ~2× the base rate. The structural explanation is a new market (800G/1.6T DSP) where MXL is gaining share from a small base. That is plausible but not yet earned. At β 2.5 the price needs 1.7× the Base path (65% CAGR): the conclusion is very sensitive to the beta input.

Moat and CAP: technology position in a narrow, fast-moving niche (PAM4 DSP + drivers) against Marvell and Broadcom; no contracts, purchase orders only; design-win switching costs per platform generation. Narrow moat, CAP 3–5 years, conditional on Rushmore 1.6T winning sockets in 2027.

7. Fisher — Qualitative Checklist

- **#5/#6 Margins:** GAAP gross 56.9% → 58.7% over five quarters; Q4 guide 59–62% non-GAAP. Mix-driven expansion is starting (on Oct 5 it was flat).
- **#11 Competitive edge:** Keystone in volume at multiple hyperscalers; share "teens in two years". Third supplier behind Marvell and Broadcom; Credo dominates AEC.
- **#12 Profit outlook:** short-term strong (Q4 +10–19% QoQ, bookings into 2028); long-term rests on the 1.6T transition.
- **#13 Equity financing:** no equity raise, but share-settled bonuses and SBC dilute ~5%/yr, and the revolver funds working capital.
- **#15 Integrity:** founder-CEO; directors/officers 7.7%. Prior report: $60.6M of insider sales in 12 months, no buying (not refreshed). Silicon Motion stockholder suits dismissed (one on appeal). No disqualifier.

8. Ilmanen — Factor Read

Factor	Read
Value	Present on consensus (14.9× FY27 non-GAAP, cheapest in peer set, price ≈ Base DCF). Absent on cash (OCF negative).
Quality	Weak: GAAP operating margin turned positive only in Q3 (13.9%); cash negative; dilution 5%/yr.
Momentum	Negative short-term (−39% in a month, below MA50, SMH Stage 4); 12-1 still +596%. Price 6% above MA200.
Low beta	Absent: beta 3.7–4.0.

Net: value has appeared; quality and momentum are not there. Single-factor (value on consensus) bet.

9. Quality Compounder Screen (Framework 8)

Criterion	Result	Evidence
ROIC 5-yr avg > 15%	FAIL	Operating losses FY23–FY25; GAAP operating income 9M 26 only $8.8M
ROIC trend	PASS	GAAP operating margin −32.7% (Q3-25) → 13.9% (Q3-26)
Operating margin > 15%	FAIL	GAAP 13.9% Q3, 1.7% 9M (non-GAAP 29.5% excludes SBC)
FCF / NI > 80%	FAIL	OCF −$17.7M 9M vs non-GAAP NI $114.5M
Capex / revenue < 10%	PASS	9M capex + IP $15.0M = 2.9% (fabless)
Self-funded	FAIL	Basic shares +5.3% in 9M; revolver drawn $40M
Management ownership > 3% founder	PASS	Directors & officers 7.7%; founder-CEO
Buybacks at/below value	PASS (borderline — ½)	$20M in FY25 at $17.46, far below value; none in 2026
Goodwill < 40% of assets	PASS	$318.6M / $916.4M = 34.8%

4.5/9 (5 passes, one borderline) → QUALITY. The Penman accrual flag (non-GAAP earnings not in cash) also caps at QUALITY. With MoS Gate BASE the label is QUALITY at today's price.

10. Sector Appendix — Semiconductors (fabless)

Metric	Current value	Read
Gross margin (fabless)	60.0% non-GAAP / 58.7% GAAP (Q3)	Strong (> 55%), now expanding
Book-to-bill	Not disclosed; bookings into 2028; lead times 26–28 weeks	Demand-positive, but non-binding POs
Inventory days	$113.7M / Q3 COGS × 91 ≈ 115 days (Dec 25: ~124)	Falling with growth; plus $121.6M of prepaid wafers not in inventory
AI / data-centre revenue %	Infrastructure 57% Q3; optical DC $250–270M FY26	Majority → SOTP
Customer concentration	No customer ≥ 10% Q3; top ten 56% (9M)	Improving
Supplier concentration	Vendor A 52% of purchases	Single-foundry risk
Capex / revenue	2.9% (9M)	n/a for fabless; working capital is the real capital use

11. Five-Year Ratio Trend Analysis

FY = calendar. FY22–FY25 from yfinance/10-K (carried from the Oct 5 report); TTM to Q3 2026 at the Nov 3 price (diluted market cap $6.37B).

Metric	FY2022	FY2023	FY2024	FY2025	TTM @ current price
Revenue	$1,120M	$693M	$361M	$468M	$660.5M
Revenue growth	+25.5%	−38.1%	−48.0%	+29.7%	+58% (9M YoY)
Gross margin	58.0%	55.6%	54.0%	56.8%	58.0%
EBITDA margin	23.6%	2.7%	−48.2%	−18.6%	5.7%
Net margin	11.2%	−10.6%	−68.0%	−29.2%	−4.5%
ROE	18.5%	−10.7%	−47.5%	−30.2%	−6.0%
P/E	21.9×	n/m	n/m	n/m	n/m GAAP / 32.1× FY26 non-GAAP
P/S	2.4×	2.8×	4.6×	3.2×	9.6×
P/B	3.9×	2.8×	3.2×	3.3×	12.0×

Metric	FY2022	FY2023	FY2024	FY2025	TTM @ current price
EV/Revenue	2.3×	2.8×	4.7×	3.4×	9.8×
EV/EBITDA	9.9×	104×	n/m	n/m	171×
Debt/Equity	0.23	0.23	0.29	0.32	0.35
Net cash / (net debt)	+$50M	+$30M	−$31M	−$72M	−$104M
FCF margin	30.0%	3.4%	−19.1%	0.0%	−6.0%

Sector metric	FY2022	FY2023	FY2024	FY2025	9M 2026
Capex / revenue	4.7%	2.9%	6.5%	4.2%	2.9%
R&D / revenue	26.5%	38.9%	62.5%	44.6%	32.4%
SBC (+ share bonus) / revenue	7.3%	8.0%	18.3%	16.5%	18.0%
Basic shares	78.7M	81.8M	84.6M	86.5M	91.0M (99.7M diluted)
Infrastructure share of revenue	n/a	n/a	n/a	~31%	52% (Q3 57%)
Top-ten customers	n/a	n/a	n/a	65%	56%

Interpretation: P/S went 3.2× → 16.9× (Oct 5) → 9.6× now while revenue kept rising: the multiple has given back half its expansion, and fundamentals caught up (Mauboussin step 6). Gross margin is finally moving with the mix (58.0% TTM, 60% non-GAAP Q3), confirming Fisher #5. But the FCF margin is still negative and SBC is still 18% of revenue: the gap between the income statement and the cash flow is the one thing the trend has not fixed.

12. Final Verdict

⚠ DEFAULT WARNINGS TRIGGERED

Cash conversion break: OCF 9M −$17.7M vs +$9.2M YoY while earnings rose (wafer prepayments).

TICKER	Track	Category	F-Score	F-Rating	DCF Bear-Base-Bull	MoS Gate	Compounder	AI Impact	Horizon	Thesis Invalidation
MXL	B-SM (split)	Turnaround → FastGrower	60 (V 50 / Q 40 / G 85)	Fair	$9.89 / $64.81 / $124.72 (€8.84 / €57.89 / €111.41), WACC 11.07%	BASE (thin)	QUALITY (4.5/9)	TAILWIND (Infra)	3–5 yr	OCF still negative in Q1 2027 after prepayments; Rushmore 1.6T revenue slips beyond H2 2027; FY27 revenue tracking < 90% of $1.27B; non-GAAP GM back below 59%; SiMo award > $250M

Verdict Score component	Score (0–10)	Weight	Weighted	Why
DCF / MoS Gate	6	3	1.8	BASE: price 0.986× Base
Business quality (Framework 8)	5.0	3	1.5	4.5 / 9
Relative value	8	2	1.6	Bottom of the non-GAAP forward-P/E peer ladder (14.9×); mid-pack after SBC

Verdict Score component	Score (0–10)	Weight	Weighted	Why
Risks (Default Warnings)	7	2	1.4	One warning: cash conversion
Total			6.3 → GREEN (WEAK)	WEAK: gate holds by 1.4% of price, fails at +0.1 pt WACC, one Default Warning, one borderline pass

Summary. One Default Warning: the cash conversion break. Operating cash flow is negative while earnings rise, because MaxLinear is prepaying wafers to secure DSP capacity. That warning is why the GREEN is graded WEAK, and it did not change the colour by itself. After a 40% fall and a 65% upgrade to FY27 EPS, the price (€57.09 ($63.91)) sits on the Base case (€57.89 ($64.81)), and MXL is the cheapest AI-DSP name on forward non-GAAP earnings. This is fair value on consensus, not a margin of safety: the gate fails at 98.6% of consensus, at β 2.5, or 0.1 pt above the house WACC, and the Bear case is −85%.

What has to be true: revenue compounds ~31% a year to ~$3B by FY31 (2.7× the FY22 peak), with margins after SBC in the low 20s, and the prepaid wafers turn into revenue and cash in 2027. The data point that would most change the verdict is Q4 2026 operating cash flow (report ~late Jan 2027): positive OCF would remove the warning; another negative quarter with prepaids rising would make the Base hinge on funding. The Silicon Motion award is the binary tail.

Macro timing (today's /macro: SHORT bias, SMH Stage 4 with a failed-retest risk at MA200): the long-term verdict says the price is now around fair value. The regime says AI-hardware de-rating can continue. MXL has beta ~4 and peers are −29% to −37% in a month. For a re-entry after the Oct 21 exit, the report supports at most a small, staged position, ideally after Q4 OCF.

13. Investment Checklist Scorecard

Side output — not a gate; it does not change the Step 12 verdict.

Categoria	✓	✗	?	N/A	Score
Pre-investimento	6	3	1	0	6/10
Business Model ed Economics	5	0	2	0	5/7
Unit Economics e KPI	4	2	0	1	4/7
Strategia e Risorse	7	3	0	0	7/10
Power Dynamics	6	2	1	0	6/9
Check dei Poteri	0	7	0	0	0/7
Valutazione	9	1	1	0	9/11
Opzionalità	3	0	2	0	3/5
Management e Governance	5	3	3	0	5/11
Rischi	4	5	0	0	4/9
Totale	**49**	**26**	**10**	**1**	**49/86**

Coverage = 75/85 = 88% (Oct 5: 42/86, 80%).

Pre-investimento

ID	Check	Mark	Evidence
PRE-1	Enough research	✓	FY25 10-K, Q3 10-Q/8-K, DEF 14A, call, peers (Step 0)
PRE-2	Bear case / pre-mortem	✓	Bear $9.89: 1.6T slip + digestion + SiMo $250M
PRE-3	Key drivers understood	✓	Keystone/Rushmore sockets; foundry capacity; broadband cycle

ID	Check	Mark	Evidence
PRE-4	Differentiated view vs market	✗	Price ≈ Base: no edge vs consensus
PRE-5	Favourable risk-reward	✗	Bull +95% vs Bear -85%
PRE-6	Catalyst	✓	Q4 print (late Jan): OCF; Rushmore revenue early 2027; SiMo ruling
PRE-7	Disconfirming information known	✓	Invalidation list (Step 12)
PRE-8	Why this vs existing holdings	?	User exited Oct 21; overlaps FN (optics)
PRE-9	Buy more after −50%	✓	−50% ≈ $32, below Base $64.81
PRE-10	Not a value trap / turnaround	✗	Turnaround-dependent (Step 3)

Business Model ed Economics

ID	Check	Mark	Evidence
BM-1	Target client & value proposition	✓	Hyperscalers via module makers; cable/fiber operators
BM-2	Revenue model & mix	✓	10-Q: Infra 57 / Broadband 24 / Conn 11 / Ind 7
BM-3	Granular cost structure	✓	R&D 32%, SBC 18%, opex guide $65–70M
BM-4	Operating leverage	✓	Non-GAAP op margin 12.1% → 29.5% YoY
BM-5	Go-to-market	✓	48% via distributors; direct design wins
BM-6	Unexploited pricing power	?	No evidence
BM-7	Strategic partners	?	Foundry (Vendor A 52%) not named

Unit Economics e KPI

ID	Check	Mark	Evidence
UE-1	Unit economics good, not temporary	✓	Gross margin rising with optics mix (58.7%)
UE-2	3–4 key KPIs tracked	✓	Infra revenue, GM, OCF, prepaids
UE-3	Cash cycle understood	✓	Wafer prepayments explained (Step 0)
UE-4	ROIC high and can still grow	✗	ROIC ≈ 0 on GAAP
UE-5	Capital intensity	✗	Working capital +$134M in 9M on +$193M revenue
UE-6	Incremental margins	✓	Q2→Q3 incremental non-GAAP op. margin ~54%
UE-7	Gross profit vs marketing	N/A	Not marketing-driven

Strategia e Risorse

ID	Check	Mark	Evidence
STR-1	Strategy understood	✓	AI optics DSP + broadband/PON
STR-2	Value chain mapped	✓	Foundry → DSP → module makers → hyperscalers
STR-3	Value-chain evolution	✓	CEO: pluggables 60–70% in 2030, LPO "no legs", NPO > CPO
STR-4	Vertical integration	✓	Fabless; DSP + drivers + TIA
STR-5	Key success factors	✓	Power/bit, node cadence, qualification slots, foundry capacity
STR-6	Structure with good returns	✗	Marvell/Broadcom dominate DSP
STR-7	Rational past conduct	✗	SiMo deal and termination
STR-8	Barriers to entry	✓	Advanced-node DSP design cost
STR-9	Five forces favourable	✗	Strong incumbents, concentrated buyers, single foundry
STR-10	Highest-value resources / synergies	✓	Mixed-signal IP across optics and broadband

Power Dynamics

ID	Check	Mark	Evidence

ID	Check	Mark	Evidence
PD-1	Strategic inflection point	✓	800G → 1.6T
PD-2	Company phase	✓	Takeoff in optics; mature broadband
PD-3	Competitors segmented	✓	10-K list; Credo AEC, Marvell/Broadcom DSP
PD-4	Why not a commodity	✗	Third DSP supplier
PD-5	Powers analysed	✓	POW table
PD-6	Main Power identified	✗	None identified
PD-7	Cost & pricing vs competitors	?	Not available
PD-8	Moat incl. contrary data	✓	Contrary: capacity constraint, incumbents
PD-9	Multi-business strategy	✓	Broadband refresh + PON + optics

Check dei Poteri

ID	Check	Mark	Evidence
POW-1	Unique resources	✗	None
POW-2	Counter-positioning	✗	None
POW-3	Switching cost	✗	Design-win cycles only
POW-4	Network economies	✗	None
POW-5	Scale economies	✗	Sub-scale vs Marvell/Broadcom
POW-6	Branding	✗	None
POW-7	Process power	✗	Not evidenced

Valutazione

ID	Check	Mark	Evidence
VAL-1	TAM analysed	✓	Optical DC $250–270M 2026; share target teens
VAL-2	Market share	✓	CEO: teens in two years
VAL-3	Implications of assumptions (invert)	✓	Price needs ~31% CAGR to FY31 (Step 6)
VAL-4	Base rates checked	✓	~2× the growth base rate
VAL-5	Organic growth	✓	Organic
VAL-6	Why revenue grows / falls	✓	Keystone/Rushmore up; broadband −8%
VAL-7	Costs in detail and evolution	✓	SBC, opex, interest modelled
VAL-8	Working capital / capex can improve	?	Prepaids to keep rising (CFO); timing unknown
VAL-9	Intrinsic value estimated	✓	$9.89 / $64.81 / $124.72; SOTP $64–101
VAL-10	No common errors	✓	SBC deducted; SiMo priced; house beta
VAL-11	Possible, plausible, probable	✗	Gate fails at 98.6% of consensus

Opzionalità

ID	Check	Mark	Evidence
OPT-1	Resources extend to new businesses	✓	Annapurna electrical, NPO
OPT-2	Economics of similar products	✓	Credo/Marvell peers (SOTP)
OPT-3	Differentiated competence for launches	?	Rushmore still in qualification
OPT-4	Unreported drivers	?	None identified
OPT-5	Traction of options	✓	Infra +210% YoY

Management e Governance

ID	Check	Mark	Evidence
MGT-1	Organisation & key roles	✓	Founder-CEO Seendripu; CFO Litchfield (also strategy)
MGT-2	DEF 14A incentives	✗	Non-GAAP metrics; bonuses settled in shares (dilutive)
MGT-3	Clean governance, stable top team	✗	SiMo arbitration + suits
MGT-4	Founder / aligned incentives	✓	Directors & officers 7.7%
MGT-5	Interviews / integrity	?	Not researched
MGT-6	Culture (Glassdoor/Reddit)	?	Not researched
MGT-7	Unionised workforce	?	Not disclosed
MGT-8	No short-termism	✓	Prepaying capacity for 2027–28
MGT-9	Operational excellence	✓	Four beats in a row; Q3 above guide
MGT-10	Takes innovative rivals seriously	✓	Detailed LPO/CPO/NPO view on the call
MGT-11	Value-creating capital allocation	✗	SiMo deal; growth funded by revolver

Rischi

ID	Check	Mark	Evidence
RSK-1	Risk factors read	✓	10-K Item 1A (Step 0)
RSK-2	No excessive concentration	✗	10-K: top ten 65% FY25; single foundry 52%
RSK-3	Cyclicality understood (not cyclical)	✗	Revenue −68% FY22–24
RSK-4	No accounting red flags	✗	10-Q: OCF negative vs non-GAAP NI $114.5M
RSK-5	Leverage manageable	✓	Net debt $104M; covenant loosened
RSK-6	Goodwill / failed acquisitions	✗	10-K: goodwill 34.8% of assets; failed SiMo deal
RSK-7	Not a fad	✗	+322% in 12 months on AI optics
RSK-8	No technical debt	✓	Leading-node DSPs; 1.6T in qualification
RSK-9	Still nimble	✓	Pivot to optics

Weakest category (most ✗, excluding Powers): Rischi (5 ✗).

✗ in PRE and RSK: PRE-4, PRE-5, PRE-10, RSK-2, RSK-3, RSK-4, RSK-6, RSK-7.

Powers present: none identified.